UNITED STATES
SECURITIES AND EXCHANGE COMMISSION
WASHINGTON, DC 20549

FORM 10-Q

☒ Quarterly report pursuant to Section 13 or 15(d) of the Securities Exchange Act of 1934

For the quarterly period ended December 31, 2025

☐ Transition report pursuant to Section 13 or 15(d) of the Securities Exchange Act of 1934

For the transition period from __________ to __________.

Commission File Number: **000-54277**

XERIANT, INC.

(Exact name of registrant as specified in its charter).

Nevada	**27-1519178**
(State or other jurisdiction of incorporation or organization)	(I.R.S. Employer Identification No.)
3651 FAU Boulevard, Suite 400 Boca Raton, Florida	**33431**
(Address of principal executive offices)	(Zip code)

Registrant's telephone number, including area code: **(561) 491-9595**

Securities registered pursuant to Section 12(b) of the Act:

Title of each class	Trading symbol	Name of exchange on which registered
N/A	N/A	N/A

Indicate by check mark whether the registrant (1) has filed all reports required to be filed by Section 13 or 15(d) of the Securities Exchange Act of 1934 during the preceding 12 months (or for such shorter period that the registrant was required to file such reports) and (2) has been subject to such filing requirements for the past 90 days. Yes ☒ No ☐

Indicate by check mark whether the registrant has submitted electronically every Interactive Data File required to be submitted pursuant to Rule 405 of Regulation S-T (§232.405 of this chapter) during the preceding 12 months (or for such shorter period that the registrant was required to submit such files). Yes ☒ No ☐

Indicate by check mark whether the registrant is a large accelerated filer, an accelerated filer, a non-accelerated filer, a smaller reporting company, and an "emerging growth company" in Rule 12b-2 of the Exchange Act.

Large accelerated filer	☐	Accelerated filer	☐
Non-accelerated Filer	☒	Smaller reporting company	☒
Emerging growth company	☐		

If an emerging growth company, indicate by check mark if the registrant has elected not to use the extended transition 13(a) of the Securities Act. ☐

Indicate by check mark whether the registrant is a shell company (as defined in Rule 12b-2 of the Exchange Act). Yes ☐ No ☒

Indicate the number of shares outstanding of each of the issuer's classes of common stock, as of the latest practicable date. As of February 17, 2026, the Registrant had outstanding 886,667,035 shares of common stock.

XERIANT, INC.
FORM 10-Q
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SPECIAL NOTE REGARDING FORWARD-LOOKING STATEMENTS

This document contains certain statements of a forward-looking nature. Such forward-looking statements, including but not limited to statements regarding projected growth, trends and strategies, future operating and financial results, financial expectations and current business indicators are based upon current information and expectations and are subject to change based on factors beyond the control of the Company. Forward-looking statements typically are identified by the use of terms such as “look,” “may,” “should,” “might,” “believe,” “plan,” “expect,” “anticipate,” “estimate” and similar words, although some forward-looking statements are expressed differently. The accuracy of such statements may be impacted by a number of risks and uncertainties that could cause actual results to differ materially from those projected or anticipated, including but not limited to those set forth herein and in our Annual Report on Form 10-K.

Readers are cautioned not to place undue reliance on these forward-looking statements, which speak only as of the date hereof. Except as required by the federal securities laws, we undertake no obligation to update forward-looking information. Nonetheless, the Company reserves the right to make such updates from time to time by press release, periodic report or other method of public disclosure without the need for specific reference to this Report. No such update shall be deemed to indicate that other statements not addressed by such update remain correct or create an obligation to provide any other updates.

PART I – FINANCIAL INFORMATION

Item 1. Unaudited Condensed Consolidated Financial statements

XERIANT, INC.
CONDENSED CONSOLIDATED FINANCIAL STATEMENTS
DECEMBER 31, 2025
(UNAUDITED)

INDEX TO UNAUDITED CONDENSED CONSOLIDATED FINANCIAL STATEMENTS

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XERIANT, INC.
CONDENSED CONSOLIDATED BALANCE SHEETS

	As of December 31, 2025 (Unaudited)	As of June 30, 2025
Assets		
Current assets		
Cash	$ 76,533	$ 44,850
Prepaids	18,383	11,827
Total current assets	94,916	56,677
Property & equipment, net	3,228	4,158
Operating lease right-of-use asset, net	5,296	7,384
Total assets	$ 103,440	$ 68,219
Liabilities and stockholders' deficit		
Current liabilities		
Accounts payable and accrued liabilities	$ 421,379	$ 1,000,975
Accrued liabilities, related party	28,000	-
Shares to be issued	7,000	7,000
Convertible notes payable, net of discount - in default	-	5,900,000
Convertible notes payable, net of discount	1,670,152	1,853,323
Settlement liability	3,500,000	-
Taxes payable	108,657	-
Lease liability, current	4,788	4,279
Total current liabilities	5,739,976	8,765,577
Lease liability, long-term	508	3,105
Total liabilities	5,740,484	8,768,682
Commitments and contingencies (Note 9)		
Stockholders' deficit		
Series A Preferred stock, $0.00001 par value; 100,000,000 authorized; 3,500,000 designated; 592,996 and 664,996 shares issued and outstanding at December 31, 2025, and June 30, 2025, respectively	6	7
Series B Preferred stock, $0.00001 par value; 100,000,000 authorized; 1,000,000 designated; 1,000,000 issued and outstanding	10	10
Common stock, $0.00001 par value; 5,000,000,000 shares authorized; 862,763,035 and 695,746,625 shares issued and outstanding at December 31, 2025, and June 30, 2025, respectively	8,629	6,958
Common stock to be issued	97,900	97,900
Additional paid in capital	23,543,686	22,410,416
Accumulated deficit	(26,410,127)	(28,338,606)
Total stockholders' deficit	(2,759,896)	(5,823,315)
Non-controlling interest	(2,877,148)	(2,877,148)
Total stockholders' deficit	(5,637,044)	(8,700,463)
Total liabilities and stockholders' deficit	$ 103,440	$ 68,219

The accompanying notes are an integral part of these unaudited condensed consolidated financial statements

XERIANT, INC.
CONDENSED CONSOLIDATED STATEMENTS OF OPERATIONS
UNAUDITED

	For the three months ended December 31, 2025	For the three months ended December 31, 2024	For the six months ended December 31, 2025	For the six months ended December 31, 2024
Operating expenses:				
Consulting and advisory fees	$ 38,750	$ 36,137	$ 105,950	$ 125,120
Related party consulting fees	89,000	128,000	163,000	251,000
General and administrative expenses	28,381	145,621	53,293	202,066
Professional fees	58,628	25,810	142,625	89,616
Research and development expense	16,303	15	70,269	26,576
Total operating expenses	231,062	335,583	535,137	694,378
Loss from operations	(231,062)	(335,583)	(535,137)	(694,378)
Other (income) expenses:				
Amortization of debt discount	(46,637)	(25,472)	(90,668)	(42,274)
Interest expense	(35,822)	(51,379)	(80,605)	(112,996)
Gain (loss) on extinguishment of debt	-	(4,835)	2,743,546	60,157
Total (income) other expense	(82,459)	(81,686)	2,572,273	(95,113)
Net income (loss) before income tax expense	(313,521)	(417,269)	2,037,136	(789,491)
Income tax benefit (expense)	15,928	-	(108,657)	-
Net income (loss)	(297,593)	(417,269)	1,928,479	(789,491)
Less net loss attributable to noncontrolling interest	-	(7,219)	-	(14,595)
Net income (loss) attributable to common stockholders	$ (297,593)	$ (410,050)	$ 1,928,479	$ (774,896)
Basic and diluted earnings per share on net income (loss)				
Basic	$ (0.00)	$ (0.00)	$ 0.00	$ (0.00)
Diluted	$ (0.00)	$ (0.00)	$ 0.00	$ (0.00)
Weighted average shares outstanding				
Basic	779,770,035	596,196,491	752,961,770	571,876,754
Diluted	779,770,035	596,196,491	1,701,389,294	571,876,754

The accompanying notes are an integral part of these unaudited condensed consolidated financial statements

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XERIANT, INC.
CONDENSED CONSOLIDATED STATEMENTS OF CHANGES IN STOCKHOLDERS' DEFICIT
FOR THE THREE AND SIX MONTHS ENDED DECEMBER 31, 2025
UNAUDITED

	Series A Preferred Stock		Series B Preferred Stock		Common Stock		Common stock to be issued	Additional Paid in Capital	Accumulated Deficit	Non-Controlling Interest	Total
	Shares	Amount	Shares	Amount	Shares	Amount					
Balance June 30, 2025	**664,996**	**$ 7**	**1,000,000**	**$ 10**	**695,746,625**	**$ 6,958**	**$ 97,900**	**$22,410,416**	**$ (28,338,606)**	**$(2,877,148)**	**$(8,700,463)**
Stock issued for services	-	-	-	-	4,756,410	48	-	59,452	-	-	59,500
Conversion of Series A Preferred to Common Stock	(15,000)	-	-	-	15,000,000	150	-	(150)	-	-	-
Conversion of convertible notes payable and accrued interest into common stock	-	-	-	-	33,550,000	336	-	335,165	-	-	335,501
Warrants issued with convertible notes payable	-	-	-	-	-	-	-	76,892	-	-	76,892
Stock owed in connection with settlement agreement	-	-	-	-	-	-	300,000	-	-	-	300,000
Net income	-	-	-	-	-	-	-	-	2,226,072	-	2,226,072
Balance September 30, 2025	**649,996**	**$ 7**	**1,000,000**	**$ 10**	**749,053,035**	**$ 7,492**	**$ 397,900**	**$22,881,775**	**$ (26,112,534)**	**$(2,877,148)**	**$(5,702,498)**
Stock issued for services	-	-	-	-	3,500,000	35	-	34,965	-	-	35,000
Conversion of Series A Preferred to Common Stock	(57,000)	(1)	-	-	57,000,000	570	-	(570)	-	-	(1)
Conversion of convertible	-	-	-	-	23,210,000	232	-	231,868	-	-	232,100

notes payable and accrued interest into common stock											
Warrants issued with convertible notes payable	-	-	-	-	-	-	-	95,948	-	-	95,948
Stock issued in connection with settlement agreement	-	-	-	-	30,000,000	300	(300,000)	299,700	-	-	-
Net loss	-	-	-	-	-	-	-	-	(297,593)	-	(297,593)
Balance December 31, 2025	**592,996**	**$ 6**	**1,000,000**	**$ 10**	**862,763,035**	**$ 8,629**	**$ 97,900**	**$23,543,686**	**$ (26,410,127)**	**$(2,877,148)**	**$(5,637,044)**

The accompanying notes are an integral part of these unaudited condensed consolidated financial statements

XERIANT, INC.
CONDENSED CONSOLIDATED STATEMENTS OF CHANGES IN STOCKHOLDERS' DEFICIT
FOR THE THREE AND SIX MONTHS ENDED DECEMBER 31, 2024
UNAUDITED

	Series A Preferred Stock		Series B Preferred Stock		Common Stock		stock to be issued	Additional Paid in Capital	Accumulated Deficit	Non-Controlling Interest	Total
	Shares	Amount	Shares	Amount	Shares	Amount					
Balance June 30, 2024	**705,895**	**$ 7**	**1,000,000**	**$ 10**	**524,853,304**	**$ 5,248**	**$51,950**	**$20,899,187**	**$ (26,708,915)**	**$(2,859,941)**	**$(8,612,454)**
Stock issued for services	-	-	-	-	11,902,182	119	-	217,393	-	-	217,512
Conversion of Series A Preferred to Common Stock	(6,479)	-	-	-	6,479,000	65	-	(65)	-	-	-
Conversion of convertible notes payable and accrued interest into common stock	-	-	-	-	26,950,000	270	-	269,231	-	-	269,501
Net loss	-	-	-	-	-	-	-	-	(364,846)	(7,376)	(372,222)
Balance September 30, 2024	699,416	7	1,000,000	10	570,184,486	5,702	51,950	21,385,746	(27,073,761)	(2,867,317)	(8,497,663)
Stock issued for services	-	-	-	-	967,000	10	-	14,495	-	-	14,505
Conversion of Series A Preferred to Common Stock	(17,200)	-	-	-	17,200,000	172	-	(172)	-	-	-
Conversion of convertible notes payable and accrued interest into common stock	-	-	-	-	16,500,000	165	45,950	164,835	-	-	210,950
Cashless exercise of warrants	-	-	-	-	1,528,185	15	-	(15)	-	-	-
Net loss	-	-	-	-	-	-	-	-	(410,050)	(7,219)	(417,269)

Balance December 31, 2024	**682,216**	**$ 7**	**1,000,000**	**$ 10**	**606,379,671**	**$ 6,064**	**$97,900**	**$21,564,889**	**$ (27,483,811)**	**$(2,874,536)**	**$(8,689,477)**

The accompanying notes are an integral part of these unaudited condensed consolidated financial statements.

XERIANT, INC.
CONDENSED CONSOLIDATED STATEMENTS OF CASH FLOWS
UNAUDITED

	For the six months ended December 31, 2025	For the six months ended December 31, 2024
Cash Flows from Operating Activities		
Net Income (Loss)	$ 1,928,479	$ (789,491)
Adjustments to reconcile net loss to net cash used by operating activities:		
Depreciation and amortization	930	756
Stock issued for services	94,500	284,006
Gain on extinguishment of debt	(2,743,546)	(60,157)
Amortization of debt discount	90,668	42,274
Amortization of right of use asset	2,088	27,515
Changes in operating assets and liabilities:		
Prepaids	(6,556)	1,050
Accounts payable and accrued liabilities	115,551	(214,320)
Accrued liabilities, related party	28,000	(7,500)
Shares to be issued	-	(4,250)
Taxes payable	108,657	-
Lease liabilities	(2,088)	(30,805)
Net cash used in operating activities	(383,317)	(750,922)
Cash Flows from Investing Activities		
Net cash from financing activities	-	-
Cash Flows from Financing Activities		
Proceeds from convertible bridge loans	415,000	352,000
Net cash provided by financing activities	415,000	352,000
Net change in cash	31,683	(398,922)
Cash at beginning of period	44,850	653,117
Cash at end of period	$ 76,533	$ 254,195
Supplemental Cash Flow Information		
Cash paid for interest	$ -	$ -
Cash paid for income taxes	$ -	$ -
Non-cash investing and financing activities:		
Conversion of convertible notes payable and accrued interest	$ 567,601	$ 480,451
Warrants issued with convertible notes payable	$ 172,840	$ -
Stock owed in connection with settlement agreement	$ 300,000	$ -
Cashless exercise of warrants	$ -	$ 15

The accompanying notes are an integral part of these unaudited condensed consolidated financial statements.

XERIANT, INC.
NOTES TO CONDENSED CONSOLIDATED FINANCIAL STATEMENTS
FOR THE PERIOD ENDING DECEMBER 31, 2025
UNAUDITED

NOTE 1 - ORGANIZATION AND NATURE OF BUSINESS

Company Overview

Xeriant, Inc. (the "Company") is dedicated to the discovery, development and commercialization of transformative technologies, including advanced materials, which can be successfully integrated and deployed across multiple industrial sectors. The Company seeks to partner with and acquire strategic interests in visionary companies that accelerate this mission. Xeriant's advanced materials line will be marketed under the DUREVER™ brand, and includes NEXBOARD™, an eco-friendly, patent-pending composite construction panel made from plastic and fiber waste, designed to replace products such as drywall, plywood, OSB, MDF, MgO board and other materials used in construction.

Advanced Materials

A primary focus of the Company is the development and commercialization of eco-friendly advanced materials, especially in the area of nanotechnology, which have applications across a broad range of industries and the potential to generate significant near-term revenue. The Company's strategy encompasses licensing arrangements, joint ventures, or combinations which could allow for more rapid access to the market with reduced capital requirements and financial risk. Some partner companies may provide production and distribution infrastructure, which could streamline testing and certification as well as add brand recognition. Once the Company establishes sufficient production capabilities, the advanced materials may be sold as standalone products, enhancements to existing products, or used in the development of proprietary products under new trademarked brands owned by the Company. The Company is exploring manufacturing and branding opportunities for specific products derived from advanced materials acquired or developed, which would involve setting up production facilities, equipment, systems and supply chains.

Starting in 2023, the Company began developing its own advanced materials, including proprietary flame-retardant technology for polymers contained in recycled materials. In 2024, the Company began testing a number of production processes to manufacture its eco-friendly, patent pending, composite construction panel called NEXBOARD so that it can be competitive in the market and produced on an industrial scale. The Company plans to initially manufacture its wallboards through contract manufacturers to meet expected demand indicated by a number of homebuilders and developers.

During the first quarter of 2025, the Company appointed two Senior Advisors who are experts in nanomaterials, which helped to expand the Company's portfolio of advanced materials and products, which now includes access to specific nanotechnologies for addressing deficiencies in the properties of wood, asphalt, concrete, and plastic composites, as well as addressing the performance of fuel and stopping the spread of wildfires. Management believes that incorporating nanotechnology in NEXBOARD will significantly improve its fire resistance and thermal stability based on internal testing. NEXBOARD will be available in varying thicknesses and sizes, including standard 48" x 96" sheets. The Company will need to have this product certified for use in the construction industry, which is in process. If the Company decides to set up its own manufacturing facilities it will need to raise significant capital, which may or may not be available depending on market conditions and other factors. The Company has had ongoing discussions with an investment bank interested in financing these facilities and operations through a series of green bond issuances although no engagement agreement has been entered into.

On August 12, 2022, the Company filed a trademark application with the U.S. Patent and Trademark Office for “NEXBOARD,” with respect to construction panels, namely, composite sheets and panels composed primarily of plastic, reinforcement materials and fire-retardant chemicals for use in walls, ceilings, flooring, framing, siding, roofing and decking. The trademark filing was intentionally broad and based upon demand for a general all-purpose construction panel made from a mixture of fire-retardant and recycled materials. Xeriant has also filed a trademark application for “DUREVER™.”

On March 31, 2023, the Company filed a provisional patent application titled “Multilayered Fire-Resistant Polymer Composite and Method for Producing Same,” for a method of producing a unique fire-resistant thermoplastic and fiber composite material which may be formed or shaped into various construction products of different thicknesses and dimensions. This green material will be composed primarily of recycled plastic, cellulose and ecofriendly fire-retardant chemicals, including but not limited to use in walls, ceilings, flooring, framing, siding, roofing, molding, and decking, used in construction. On April 1, 2024, the Company filed a non-provisional U.S. patent application claiming priority to the filing date of the 2023 related provisional patent application described herein. Subject to available capital, the Company is planning to build manufacturing facilities in the United States for the production of NEXBOARD™ in order to meet market demand or alternatively license the technology and process. The Company is already working with companies for near-term contract manufacturing, has potential locations identified for a pilot plant and larger manufacturing facilities, received bids for specialized manufacturing equipment, developed timetables related to the action plan, and selected a managing director with decades of experience who would like to oversee the startup of production, expansion and operations.

Aerospace

The Company seeks to develop or acquire and commercialize disruptive, high-growth-potential technologies in aerospace, including next-generation air and spacecraft, that have potential applications in other industries. The areas of focus that are reshaping the future of aerospace include advanced materials, advanced air mobility, unmanned aerial systems, AI, hypersonics, communications, cybersecurity, satellites, and renewable energy technology. The Company’s initial concentration was on the emerging aviation market called advanced air mobility (AAM), the transition to more efficient, eco-friendly, automated and convenient flight operations, enabled by the convergence of technological advancements in design and engineering, composite materials, propulsion systems, battery energy density and manufacturing processes. Next-generation aircraft being developed for this market offer low-cost, on-demand flight for passengers and cargo, utilizing lower altitude airspace and bypassing the traditional hub-and-spoke airport network with vertical takeoff and landing (VTOL) capabilities. Many of these lightweight aircraft are electrically powered through either hybrid or pure battery systems, which allows for quieter, low emission flights over urban areas, however with limited speed and range. Hydrogen powered aircraft have already been prototyped and are expected to become more prevalent over the next decade. The development of solid-state hydrogen technology may address the safety, large-area storage requirement limitations for gaseous-state hydrogen. The Company plans to partner with and acquire strategic interests in visionary companies that accelerate our mission of commercializing critical breakthrough aerospace technologies which enhance sustainability, performance, and safety.

In the area of aerospace, management believes that the Company can grow expeditiously by acquiring technology and assets primarily through acquisitions, joint ventures, strategic investments, and licensing arrangements. As a publicly traded company, the Company offers partner companies such benefits as improved access to capital, higher valuations and lower risk through the shared ownership of a diversified portfolio, while allowing these entities to maintain independence in their distinct operations to focus on their fields of expertise. Cost savings and efficiencies may be realized from sharing non-operational functions such as finance, legal, tax, sales & marketing, human resources, purchasing power, as well as investor and public relations.

NOTE 2 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Basis of Presentation

The unaudited condensed consolidated financial statements, which include the accounts of the Company, American Aviation Technologies, LLC and BlueGreen Composites, LLC, its subsidiaries, are prepared in conformity with generally accepted accounting principles in the United States of America (U.S. GAAP) for interim information and in accordance with the instructions to Form 10Q and Article 8 of Regulation S-X of the United States Securities and Exchange Commission (the "SEC"). Certain information or footnote disclosures normally included in financial statements prepared in accordance with U.S.GAAP have been condensed or omitted pursuant to the rules and regulations of the SEC for interim financial reporting. Accordingly, they do not include all the information and footnotes necessary for a complete presentation of financial position, results of operations, or cash flows. All significant intercompany balances and transactions have been eliminated. In the opinion of management, the accompanying unaudited condensed consolidated financial statements include all adjustments, consisting of a normal recurring nature, which are necessary for a fair presentation of the financial position, operating results and cash flows for the period presented. The unaudited condensed consolidated financial statements, which include the accounts of the Company and its subsidiaries, and related disclosures have been prepared pursuant to the rules and regulations of the SEC. The financial statements have been prepared using the accrual basis of accounting in accordance with U.S. GAAP and presented in US dollars. The Company's fiscal year end is June 30. The interim results for the six months ended December 31, 2025, are not necessarily indicative of the results to be expected for the year ending June 30, 2026, or for any future periods.

Going Concern

These condensed consolidated financial statements have been prepared on a going concern basis, which assumes the Company will be able to realize its assets and discharge its liabilities in the normal course of business for the foreseeable future. The Company has incurred net losses since inception and has an accumulated deficit of $26,410,127 as of December 31, 2025. During the six months ended December 31, 2025, the Company had net income of $1,928,479 and at December 31, 2025, the Company had a working capital deficit of $5,645,060. The net income for the six month period was a result of recording a gain on extinguishment of debt in the amount of $2,743,546. During the three months ended December 31, 2025, the Company had a net loss of $297,593. These factors raise substantial doubt about the Company's ability to continue as a going concern. Based on its historical rate of expenditure, the Company expects to expend its available cash in approximately two months from February 17, 2026. Management's plans include raising capital through the issuance of common stock and debt to fund operations and, eventually, the generation of revenue through its business, although no assurance can be given that these things will happen. The Company is in immediate need of further working capital and is seeking options, with respect to financing, in the form of debt, equity or a combination thereof.

Failure to raise adequate capital and generate adequate revenues could result in the Company having to curtail or cease operations. The Company's ability to raise additional capital through the future issuances of the common stock is unknown. Additionally, even if the Company does raise sufficient capital to support its operating expenses and generate adequate revenues, there can be no assurances that the revenue will be sufficient to enable it to develop to a level where it will generate profits and cash flows from operations. These matters raise substantial doubt about the Company's ability to continue as a going concern; however, the accompanying unaudited condensed consolidated financial statements have been prepared on a going concern basis, which contemplates the realization of assets and satisfaction of liabilities in the normal course of business. These unaudited condensed consolidated financial statements do not include any adjustments relating to the recovery of the recorded assets or the classifications of the liabilities that might be necessary should the Company be unable to continue as a going concern.

Principles of Consolidation

The unaudited condensed consolidated financial statements include the accounts of Xeriant, Inc., American Aviation Technologies, LLC ("AAT") and BlueGreen Composites, LLC. The Company owns a 64% controlling interest in AAT and a 100% interest in BlueGreen Composites, LLC. All intercompany balances and transactions have been eliminated.

Use of Estimates

The preparation of financial statements in conformity with U.S. GAAP requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the unaudited condensed consolidated financial statements and the reported amounts of revenues and expenses during the reporting period. The most significant assumptions and estimates relate to the valuation of warrants associated with convertible debt. Actual results could differ from these estimates.

Fair Value Measurements and Fair Value of Financial Instruments

The Company adopted Accounting Standards Codification ("ASC") Topic 820, *Fair Value Measurements*. ASC Topic 820 clarifies the definition of fair value, prescribes methods for measuring fair value, and establishes a fair value hierarchy to classify the inputs used in measuring fair value as follows:

Level 1: Inputs are unadjusted quoted prices in active markets for identical assets or liabilities available at the measurement date.

Level 2: Inputs are unadjusted quoted prices for similar assets and liabilities in active markets, quoted prices for identical or similar assets and liabilities in markets that are not active, inputs other than quoted prices that are observable, and inputs derived from or corroborated by observable market data.

Level 3: Inputs are unobservable inputs which reflect the reporting entity's own assumptions on what assumptions the market participants would use in pricing the asset or liability based on the best available information.

The estimated fair value of certain financial instruments, including all current liabilities are carried at historical cost basis, which approximates their fair values because of the short-term nature of these instruments.

The inputs to the valuation methodology of stock options and warrants were under level 3 fair value measurements.

ASC subtopic 825-10, *Financial Instruments* ("ASC 825-10") requires disclosure of the fair value of certain financial instruments. The carrying value of cash and cash equivalents, accounts payable and accrued liabilities as reflected in the unaudited condensed consolidated balance sheets, approximate fair value because of the short-term maturity of these instruments. All other significant financial assets, financial liabilities and equity instruments of the Company are either recognized or disclosed in the unaudited condensed consolidated financial statements together with other information relevant for making a reasonable assessment of future cash flows, interest rate risk and credit risk. Where practicable the fair values of financial assets and financial liabilities have been determined and disclosed; otherwise only available information pertinent to fair value has been disclosed.

The Company follows ASC subtopic 820-10, *Fair Value Measurements and Disclosures* ("ASC 820-10") and ASC 825-10, which permits entities to choose to measure many financial instruments and certain other items at fair value.

Cash and Cash Equivalents

For the purposes of the unaudited condensed consolidated statements of cash flows, the Company considers highly liquid investments with an original maturity of three months or less to be cash equivalents. The Company has no cash equivalents.

Impairment of Long-Lived Assets

In accordance with ASC 360-10, *Impairment and Disposal of Long-Lived Asset*s, the Company, on a regular basis, reviews the carrying amount of long-lived assets for the existence of facts or circumstances, both internally and externally, that suggest impairment. The Company determines if the carrying amount of a long-lived asset is impaired based on anticipated undiscounted cash flows, before interest, from the use of the asset. In the event of impairment, a loss is recognized based on the amount by which the carrying amount exceeds the fair value of the asset. Fair value is determined based on appraised value of the assets or the anticipated cash flows from the use of the asset, discounted at a rate commensurate with the risk involved. During the six months ended December 31, 2025 and 2024, there were no impairments.

Convertible Debentures

The Company adheres to the guidance in Accounting Standards Updated ("ASU") 2020-06, *Accounting for Convertible Instruments and Contracts in an Entity's Own Equity on July 1, 2022*. ASU 2020-06 simplifies an issuer's accounting for convertible instruments and its application of the derivatives scope exception for contracts in its own equity. Additionally, ASU 2020-06 removes the requirements for accounting for beneficial conversion features.

Stock-based Compensation

The Company from time to time may issue stock options, warrants and restricted stock as compensation to employees, directors, officers and affiliates, as well as to acquire goods or services from third parties. The Company measures the cost of goods or services received in exchange for equity incentive awards based on the grant date fair value of the award. The Company uses the Black-Scholes valuation model to calculate the fair value of stock options granted to employees or consultants. Stock-based compensation expense is recognized over the period during which the employee is required to provide services in exchange for the award, which is usually the vesting period. The Company uses the fair value of the Company' stock price to calculate the fair value of restricted stock. During the six months ended December 31, 2025 and 2024, the Company recognized $94,500 and $284,006 in share-based compensation expense, respectively. During the three months ended December 31, 2025 and 2024, the Company recognized $35,000 and $14,505 in share-based compensation expense, respectively. Stock-based compensation is included in the condensed consolidated statements of operations under consulting and advisory fees.

Leases

The Company accounts for leases under ASU 2016-02. At the inception of a contract the Company assesses whether the contract is, or contains, a lease. The Company's assessment is based on: (1) whether the contract involves the use of a distinct identified asset, (2) whether the Company obtains the right to substantially all the economic benefit from the use of the asset throughout the period, and (3) whether it has the right to direct the use of the asset. The Company will allocate the consideration in the contract to each lease component based on its relative stand-alone price to determine the lease payments.

Operating lease right of use ("ROU") assets represents the right to use the leased asset for the lease term and operating lease liabilities are recognized based on the present value of the future minimum lease payments over the lease term at commencement date. As most leases do not provide an implicit rate, the Company uses an incremental borrowing rate based on the information available at the adoption date in determining the present value of future payments. Lease expense for minimum lease payments is amortized on a straight-line basis over the lease term and is presented in operating expenses on the unaudited condensed consolidated statements of operations as rent expense.

Finance leases are recorded as a finance lease liability and property and equipment asset, based on the present value of lease payments. The asset is depreciated, and the liability is amortized with interest expense incurred over the life of the lease.

As permitted under the new guidance, the Company has made an accounting policy election not to apply the recognition provisions of the guidance to short term leases (leases with a lease term of twelve months or less that do not include an option to purchase the underlying asset that the lessee is reasonably certain to exercise); instead, the Company will recognize the lease payments for short term leases on a straight-line basis over the lease term.

Research and Development Expenses

Expenditures for research and development are expensed as incurred. The Company incurred research and development expenses of $70,269 and $26,576 for the six months ended December 31, 2025 and 2024, respectively. The Company incurred research and development expenses of $16,303 and $15 for the three months ended December 31, 2025 and 2024, respectively.

Advertising and Marketing Expenses

The Company expenses advertising and marketing costs as they are incurred. The Company recorded advertising expenses in the amount of $5,926 and $57,336 for the six months ended December 31, 2025 and 2024, respectively, as general and administrative expenses. The Company recorded advertising expenses in the amount of $4,132 and $53,301 for the three months ended December 31, 2025 and 2024, respectively.

Income Taxes

The Company recognizes the effect of income tax positions only if those positions are more likely than not of being sustained. Recognized income tax positions are measured at the largest amount that is more likely than not of being realized. Changes in recognition or measurement are reflected in the period in which the change in judgment occurs. The Company records interest and penalties related to unrecognized tax benefits as a component of general and administrative expenses. The Company's consolidated federal tax return and any state tax returns are not currently under examination.

The Company follows ASC subtopic 740-10, *Income Taxes* ("ASC 740-10") for recording the provision for income taxes. Deferred tax assets and liabilities are computed based upon the difference between the financial statement and income tax basis of assets and liabilities using the enacted marginal tax rate applicable when the related asset or liability is expected to be realized or settled. Deferred income tax expenses or benefits are based on the changes in the asset or liability during each period. If available evidence suggests that it is more likely than not that some portion or all of the deferred tax assets will not be realized, a valuation allowance is required to reduce the deferred tax assets to the amount that is more likely than not to be realized. Future changes in such valuation allowance are included in the provision for deferred income taxes in the period of change. Deferred income taxes may arise from temporary differences resulting from income and expense items reported for financial accounting and tax purposes in different periods.

Basic Income (Loss) Per Share

Under the provisions of ASC 260, "*Earnings per Share*", basic loss per common share is computed by dividing net loss available to common shareholders by the weighted average number of shares of common stock outstanding for the periods presented. Diluted net loss per share reflects the potential dilution that could occur if securities or other contracts to issue common stock were exercised or converted into common stock or resulted in the issuance of common stock that would then share in the income of the Company, subject to anti-dilution limitations. The following potential common shares are as follows:

	Three and six months ended December 31,	
	2025	**2024**
Warrants	153,068,828	118,968,828
Stock options	-	2,250,000
Convertible notes payable	202,362,696	881,681,703
Preferred stock	592,996,000	682,216,000
Total	948,427,524	1,685,116,531

For the six months ended December 31, 2025, the Company had net income. As such, the above potential common shares have been included in the diluted net income per share for the six months ended December 31, 2025. For the three months ended December 31, 2025 and 2024 and for the six months ended December 31, 2024, the Company had net losses. As a result, those shares have been excluded from the diluted net loss per share calculations for those periods because the effect of including them would be anti-dilutive.

Segment Reporting

The Company has determined that they had one reportable segment, which includes discovery, development and commercialization of transformative technologies, including advanced materials, which can be successfully integrated and deployed across multiple industrial sectors. The single segment was identified based on how the Chief Operating Decision Maker, who we have determined to be our Chief Executive Officer, manages and evaluates performance and allocates resources.

Recent Accounting Pronouncements

All other recent accounting pronouncements issued by the Financial Accounting Standards Board, did not or are not believed by management to have a material impact on the Company's present or future unaudited condensed consolidated financial statements.

NOTE 3 – JOINT VENTURE

Joint Venture with XTI Aircraft

Effective May 31, 2021, Xeriant entered into a Joint Venture with XTI Aircraft Company ("XTI"), named Eco-Aero, LLC, with the purpose of completing the preliminary design review ("PDR") of XTI's eVTOL fixed wing aircraft. XTI and the Company each own 50 percent of the XTI JV, and it is managed by a management committee consisting of five members, three appointed by Xeriant and two by XTI. The Company invested approximately $5.5 million into the joint venture after borrowing the funds from Auctus Fund LLC ("Auctus") through a Senior Secured Promissory Note, through an introduction from Maxim Group, LLC, the Company's investment banker at the time. The borrowed funds from Auctus were intended to be a bridge loan that would be resolved through an IPO (Initial Public Offering) and uplist to Nasdaq in a merger with XTI, which did not occur because XTI refused to move forward with the merger. The PDR was completed during the first quarter of 2022 according to XTI, which was the purpose of the joint venture.

On May 17, 2022, Xeriant signed a Letter Agreement with XTI related to the introduction of XTI to Inpixon, a Nasdaq-listed company. Under this Letter Agreement, if there was a combination or other transaction between XTI and Inpixon, Xeriant would receive compensation of 6 percent of XTI fully diluted pre-merger shares, and XTI would assume the obligations of Xeriant's Senior Secured Note with Auctus Fund, LLC. On May 31, 2023, the joint venture was terminated according to an Acceleration Event, which was 24 months from the start of the joint venture. On June 5, 2023, after suspecting that the obligations under the Letter Agreement were possibly being evaded, the Company transmitted a formal demand letter to XTI requesting compliance with the provisions outlined in the Letter Agreement, and in accordance with section 8 of the JV Agreement with XTI. On July 25, 2023, Inpixon filed an 8-K, announcing their intention to merge with XTI having executed an Agreement of Plan and Merger with XTI. The filing also showed that XTI had engaged in a transaction with Inpixon on March 10, 2023, receiving $300,000 in funding, which was a compensation triggering event. Inpixon subsequently filed an S-4/A registration statement on October 6, 2023. On December 6, 2023, the Company initiated legal proceedings against XTI. See Litigation section at Note 9 below for a summary of the related legal proceedings.

The Company analyzed the transaction under ASC 810, *Consolidation*, to determine if the joint venture classifies as a Variable Interest Entity ("VIE"). The JV qualifies as a VIE based on the fact the JV does not have sufficient equity to operate without financial support from Xeriant. According to ASC 810-25-38, a reporting entity shall consolidate a VIE when that reporting entity has a variable interest (or combination of variable interests) that provides the reporting entity with a controlling financial interest on the basis of the provisions in paragraphs 810-10-25-38A through 25-38J. The reporting entity that consolidates a VIE is called the primary beneficiary of that VIE. According to the JV operating agreement, the ownership interests are 50/50. However, the agreement provides for a Management Committee of five members. Three of the five members are from Xeriant. Additionally, Xeriant had a right to invest up to $10,000,000 in the JV. As such, Xeriant has substantial capital at risk. Based on these two factors, the conclusion is that Xeriant is the primary beneficiary of the VIE. Accordingly, Xeriant has consolidated the VIE.

The Company includes the assets and liabilities related to the VIE in the condensed consolidated balance sheets. All significant intercompany balances and transactions have been eliminated in consolidation of the VIE. Xeriant. provided cash to the VIE to fund its operations. The carrying amounts of the consolidated VIE's assets and liabilities associated with the VIE subsidiary were as follows:

	December 31, 2025	June 30, 2025
Assets		
Cash	$ -	$ -
Total Assets	$ -	$ -
Liabilities		
Due to Xeriant Inc.	$ 4,475,155	$ 4,475,155
Total Liabilities	$ 4,475,155	$ 4,475,155

NOTE 4 – CONCENTRATION OF CREDIT RISKS

The Company maintains accounts with financial institutions. All cash in checking accounts is non-interest bearing and is fully insured by the Federal Deposit Insurance Corporation (FDIC). At times, cash balances may exceed the maximum coverage provided by the FDIC on insured depositor accounts. The Company believes it mitigates its risk by depositing its cash and cash equivalents with major financial institutions. On December 31, 2025, and June 30, 2025, the Company had $0 in excess of FDIC insurance (deposits in excess of $250,000, as calculated in accordance with FDIC regulations).

NOTE 5 – OPERATING LEASE RIGHT-OF-USE ASSET AND OPERATING LEASE LIABILITY

On February 13, 2025, the Company executed an agreement to lease office space at 3651 FAU Boulevard, Suite 400, Boca Raton, FL 33431. The lease commencement date was March 1, 2025, and is a month-to-month term not to exceed twenty-four months. The rent is $399 per month. The Company is electing to record as ROU since the Company intends to renew the month-to-month lease for the foreseeable future.

Operating lease right-of-use asset and liability are recognized at the present value of the future lease payments at the lease commencement date. The interest rate used to determine the present value is the Company's incremental borrowing rate, estimated to be 10%, as the interest rate implicit in most of the Company's leases is not readily determinable. Operating lease expense is recognized on a straight-line basis over the lease term. Since the common area maintenance expenses are expenses that do not depend on an index or rate, they are excluded from the measurement of the lease liability and recognized in general and administrative expenses on the condensed consolidated statements of operations. During the six months ended December 31, 2025 and 2024, the Company recorded $2,394 and $26,494 in rent expense, respectively, in general and administrative expenses on the condensed consolidated statements of operations. During the three months ended December 31, 2025 and 2024, the Company recorded $1,197 and $13,237 in rent expense in general and administrative expenses on the condensed consolidated statements of operations.

Right-of-use asset is summarized below:

	December 31, 2025	June 30, 2025
Office lease	$ 8,719	$ 8,719
Less accumulated amortization	(3,423)	(1,335)
Right of use assets, net	$ 5,296	$ 7,384

Operating lease liability is summarized below:

	December 31, 2025	June 30, 2025
Office lease	$ 5,296	$ 7,384
Less: current portion	(4,788)	(4,279)
Long term portion	$ 508	$ 3,105

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Maturity of lease liabilities are as follows:

Year ended June 30, 2026	$	2,394
Year ended June 30, 2027		3,192
Total future minimum lease payments		5,586
Less: Present value discount		(290)
Lease liability	$	5,296

NOTE 6 – CONVERTIBLE NOTES PAYABLE, IN DEFAULT

The carrying value of convertible notes payable in default as of December 31, 2025, and June 30, 2025, is as follows.

Convertible Notes Payable	**December 31, 2025**	**June 30, 2025**
Convertible notes payable issued October 27, 2021 (0% interest) – Auctus Fund LLC	$ -	$ 5,900,000
Total face value	$ -	$ 5,900,000

Auctus Fund LLC Senior Secured Note

Through Maxim Group, LLC, the Company was introduced to Auctus Fund LLC ("Auctus") for the purpose of providing bridge loan funding to satisfy the requirements of a pending merger with XTI Aircraft under a letter of intent signed in September 2021. On October 27, 2021, the Company issued a convertible note payable with Auctus with the principal of $6,050,000, consisting of $5,142,500, which was the actual amount funded, plus an original issue discount in the amount of $907,500 for interest on the unpaid principal amount at the rate of zero percent per annum from the issue date until the note becomes due and payable. The closing costs were $433,550, which included $308,550 in fees paid to Maxim and professional fees for completing the transaction. The Note had an initial due date of October 27, 2022. The Auctus Note provides the holder has the option to convert the principal balance to common stock of the Company at a conversion price of the lesser of (i) $0.1187 or (ii) 75% of the offering price per share divided by the number of shares of common stock. The Auctus Note is secured by the grant of a first priority security interest in the assets of the Company. In connection with the Auctus Note, the Company issued warrants indexed to an aggregate of 50,968,828 shares of common stock. The warrants have a term of five years and an exercise price of $0.1187. The exercise price can be adjusted downward to match the price of the Company's most recent issuances of common shares.

Effective August 1, 2022, the Company entered into an Amendment to the Senior Secured Promissory Note (the "First Amendment") with Auctus pursuant to which the parties agreed to amend the Auctus Note. The Amendment (i) extended the maturity date of the Auctus Note to November 1, 2022, and (ii) extended the dates for the completion of the acquisition of XTI Aircraft and the uplist of the Company's common stock to a national securities exchange to November 1, 2022. In consideration of the Amendment, the Company agreed to (i) grant to Auctus a new Warrant to purchase 25,000,000 shares of common stock dated July 26, 2022 (the "Warrant") at an exercise price of $0.09 per share and 5-year term; (ii) make a prepayment of the Note in the amount of $100,000; and (iii) cause a director of the Company to cancel his 10b-5(1) Plan.

Effective December 27, 2022, the Company entered into a Second Amendment to the Senior Secured Promissory Note (the "Second Amendment") with Auctus pursuant to which the parties agreed to further amend the Auctus Note. The Second Amendment (i) extended the maturity date of the Note, the obligation to uplist to a national securities exchange and acquisition of XTI Aircraft Company to March 15, 2023, and (ii) extended the date to file an S-1 registration statement to uplist the Company's common stock to a national securities exchange to January 15, 2023. In consideration of the Amendment, the Company agreed to (i) grant to Auctus a new Warrant to purchase 250,000,000 shares of Common Stock dated December 27, 2022 (the "New Warrant") at an exercise price of $0.09 per share and 5-year term, and (ii) make two pre-payment installments of $50,000 on January 15, 2023, and February 15, 2023. On October 6, 2023, the Company received a conversion notice to issue 20,011,500 shares of the Company's common stock to Auctus which shares were subsequently issued by the Company's stock transfer agent and the value of the relating shares applied to interest on the Note.

The Company tested the first modification ("First Amendment") under ASC 470-50-40 to determine if the modification resulted in an extinguishment. It was determined the present value of the cash flows under the terms of the new debt instrument was at least 10 percent different from the present value of the remaining cash flows under the terms of the original instrument. As a result, the modification resulted in a loss on an extinguishment in the amount of $3,570,366 for the year ended June 30, 2023. The Company tested the second modification ("Second Amendment") under ASC 470-50-40 to determine if the modification resulted in an extinguishment. It was determined the present value of the cash flows under the terms of the new debt instrument was at least 10 percent different from the present value of the remaining cash flows under the terms of the original instrument. As a result, the modification resulted in a loss on an extinguishment in the amount of $689,621 for the year ended June 30, 2023.

As of June 30, 2025, a total of $50,000 remained outstanding, and was recorded within accounts payable and accrued liabilities on the unaudited condensed consolidated balance sheets. As of March 31, 2025, the $50,000 accrued liability was consolidated into the balance of the convertible note payable. During the year ended June 30, 2024, the Company recorded $1,070,729 in default interest related to the note. On October 6, 2023, Auctus converted $200,115 in interest into 20,011,500 shares of common stock and on April 5, 2024, Auctus converted $227,067 in interest into 22,706,700 shares of common stock. As of December 31, 2025, and June 30, 2025, the balance of accrued interest of this note was $0 and $643,546, respectively, which is recorded in the accounts payable and accrued liabilities section of the condensed consolidated balance sheets.

Effective October 29, 2025, Xeriant entered into a Settlement Agreement with Auctus to restructure the Auctus Note and related Xeriant obligations. The Settlement Agreement provides, inter alia, the following:

1. The Company will issue to Auctus 30,000,000 unrestricted shares of the Company's Common Stock (the "Conversion Shares") pursuant to an existing Notice of Conversion dated February 24, 2025.

2. The Company will pay Auctus $3,500,000 as follows: (A) $1,000,000 on or before 75 days from October 29, 2025; (B) $1,000,000 on or before 105 days from October 29, 2025;(C) $1,000,000 on or before 135 days from October 29, 2025; and (D) $500,000 on or before 165 days from October 29, 2025.

3. Within ten (10) business days of receipt by the Company of any money or any other consideration pertaining to the legal action brought by the Company against XTI Aircraft Company, the Company will transfer litigation proceeds to Auctus on a preferred basis and share on a percentage basis thereafter net of legal fees not to exceed $250,000.

4. Provided that the Company timely makes all payments with respect to the $3,500,000, Auctus will return to Company (a) a Warrant dated July 26, 2022, to purchase 25,000,000 shares of the Company's Common Stock and (b) a Warrant dated December 27, 2022, to purchase 25,000,000 shares of the Company's Common Stock.

5. So long as the Company makes all payments as set forth above, Auctus will suspend any further exercise of its conversion rights under the Note.

6. The Company has issued a full and unconditional release to Auctus regarding any claims that the Company has against Auctus with respect to the Note and all agreements relating to the Note.

7. The Company agrees that it will not pursue, file or permit to be pursued. any civil action against Auctus with regard to the released claims.

8. Provided that no event of default has occurred under the Settlement Agreement, Auctus will not pursue, file, or assert any action, suit or legal proceeding against the Company seeking equitable or monetary relief in connection with the Note.

9. Auctus will be entitled to retain its original warrant to purchase 50,968,828 shares of the Company's Common Stock.

The foregoing summary of the Settlement Agreement does not purport to be complete, and is qualified in its entirety by the terms and conditions set forth in Form 8-K filed with the SEC on November 12, 2025.

The Company and Auctus have also entered into a Leak-Out Agreement regarding the sale by Auctus of common stock received by Auctus pursuant to a conversion or exercise of any security held by Auctus.

As a result of the agreement, the Company extinguished the $5,900,000 principal amount and $643,546 in accrued interest, in exchange for recording a settlement liability of $3,500,000 along with common stock at $300,000 (30,000,000 shares valued at $0.01 per share). This resulted in the Company recording a gain on extinguishment in the amount of $2,743,546. Xeriant is currently working on securing funding to fulfill its obligations under the Settlement Agreement and has ongoing discussions with Auctus regarding extending the cash payments based on the Company's timelines in executing its business plan, particularly certification testing of NEXBOARD.

NOTE 7 – CONVERTIBLE NOTES PAYABLE

The carrying value of convertible notes payable, net of discount at December 31, 2025, and June 30, 2025, was as follows:

Convertible Notes Payable	December 31, 2025	June 30, 2025
Convertible notes payable (10% interest)	$ 1,784,000	$ 1,885,000
Less unamortized discount	(113,848)	(31,677)
Total face value	$ 1,670,152	$ 1,853,323

Between January 13, 2023, and December 31, 2025, the Company issued convertible notes payable with an aggregate face value of $1,784,000. The notes have a coupon rate of 10% and a maturity date of one year. The Notes are convertible at a fixed price of $0.01 per share. In connection with the Notes, holders of $430,000 in principal were issued 67,100,000 warrants. These warrants have an exercise price of $0.01 per share and have a three-year expiration date. The convertible notes issued during the six months ended December 31, 2025, contain a provision that prevents the Company from prepaying any principal or interest on the notes.

During the six months ended December 31, 2025, $516,000 in principal and $51,601 in accrued interest was converted into 56,760,000 shares of common stock.

During the six months ended December 31, 2025 and 2024, the Company recorded $80,605 and $112,996 in interest expense related to these notes, respectively. During the three months ended December 31, 2025 and 2024, the Company recorded $35,822 and $54,380 in interest expense related to these notes, respectively. As of December 31, 2025, and June 30, 2025, the balance of accrued interest related to these loans was $259,246 and $230,241, respectively. Accrued interest is included in the accounts payable and accrued liabilities section of the condensed consolidated balance sheets.

The Company evaluated the detachable warrants under the requirements of ASC 480 and concluded that the warrants do not fall within the scope of ASC 480. The Company next evaluated the notes under the requirements of ASC 815 "*Derivatives and Hedging*" and concluded the warrants meet equity classification. The warrants issued were valued using Black-Scholes Merton ("BSM") and were determined to have an aggregate value of $385,254.

Significant inputs and results arising from the BSM process are as follows for the redemption feature component of the warrants:

Quoted market price on valuation date	$0.007 - $0.022
Effective contractual conversion rates	$0.01
Contractual term to maturity	3 years
Market volatility:	
Volatility	137.43% - 144.96%
Risk-adjusted interest rate	3.48% - 4.68%

NOTE 8 – RELATED PARTY TRANSACTIONS

Consulting fees

During the six months ended December 31, 2025 and 2024, the Company recorded $85,000 and $108,500 respectively, in consulting fees to Ancient Investments, LLC, a Company owned by the Company's CEO, Keith Duffy and the Company's Executive Director of Corporate Operations, Scott Duffy. During the three months ended December 31, 2025 and 2024, the Company recorded $45,000 and $53,500, respectively, in consulting fees to Ancient Investments, LLC. As of December 31, 2025, and June 30, 2025, $10,000 and $0 was accrued, respectively.

During the six months ended December 31, 2025 and 2024, the Company recorded $48,000 and $60,000 respectively, in consulting fees to AMP Web Services, a Company owned by the Company's CIO, Pablo Lavigna. During the three months ended December 31, 2025 and 2024, the Company recorded $24,000 and $30,000 respectively, in consulting fees to Pablo Lavigna. As of December 31, 2025, and June 30, 2025, $8,000 and $0 was accrued, respectively.

During the six months ended December 31, 2025 and 2024, the Company recorded $30,000 and $25,000 respectively, in consulting fees to Keystone Business Development Partners, a Company owned by the Company's CFO, Brian Carey. During the three months ended December 31, 2025 and 2024, the Company recorded $20,000 and $5,000 respectively, in consulting fees to Keystone Business Development Partners. As of December 31, 2025, and June 30, 2025, $10,000 and $0 was accrued, respectively.

The above transactions are not necessarily indicative of what third parties would agree to.

NOTE 9 – COMMITMENTS AND CONTINGENCIES

During the normal course of business, the Company may be exposed to litigation. When the Company becomes aware of potential litigation, it evaluates the merits of the case in accordance with FASB ASC 450-20-50, *Contingencies*. The Company evaluates its exposure to the matter, possible legal or settlement strategies and the likelihood of an unfavorable outcome. If the Company determines that an unfavorable outcome is probable and can be reasonably estimated, it establishes the necessary accruals.

Board of Advisors Agreements

The Company has entered into Advisor Agreements with various advisory board members. The agreements provide for the following:

On July 1, 2021, the Company agreed to issue to an advisor 100,000 common shares, and $2,500 per meeting paid in cash, common shares, or a combination, an additional bonus of $25,000 paid in common shares issued at the end of each year of service, an option to purchase 5,000,000 common shares at $0.12 per share, vesting quarterly over 24 months, and for each of the following three years (beginning July 1, 2022), an option to purchase an additional 1,000,000 common shares per year thereafter at a 25% discount to the average market price for the preceding 10 trading days. The agreement also provides for a 1% finder's fee.

On July 6, 2021, the Company provided an option to an advisor to purchase 5,000,000 common shares at $0.12 per share, vesting quarterly over 24 months, a bonus of 250,000 common shares issued upon a strategic partnership with a major airline, $2,500 per formal meeting paid in common shares, and an additional bonus of $25,000 paid in common shares issued at the end of each year of service. Advisory agreement is open ended and can be terminated by consent of both parties upon written notice.

On July 28, 2021, the Company agreed to issue to an advisor 250,000 common shares immediately, an option to purchase 5,000,000 common shares at $0.12 per share, vesting quarterly over 24 months, a bonus of 5,000,000 common shares for bringing in a strategic partner that significantly strengthens the Company's market position, $2,500 per formal meeting paid in cash, common shares or a combination, and an additional bonus of $25,000 paid in common shares issued at the end of each year of service. The agreement also provides for a 30% commission. Advisory agreement is open ended and can be terminated by consent of either party upon written notice.

On August 9, 2021, the Company agreed to issue to an advisor 50,000 common shares vesting over the first year, $2,500 per meeting paid in cash, common shares, or a combination, and an additional bonus of $25,000 paid in common shares issued at the end of each year of service. Advisory agreement is open ended and can be terminated by consent of either party upon written notice.

On August 20, 2021, the Company agreed to issue to an advisor 100,000 common shares, and $2,500 per meeting paid in cash, common shares, or a combination, an additional bonus of $25,000 paid in common shares issued at the end of each year of service, an option to purchase 4,000,000 common shares at $0.12 per share, vesting quarterly over 24 months. Advisory agreement is open ended and can be terminated by consent of either party upon written notice.

On January 20, 2022, the Company agreed to issue to an advisor 150,000 common shares vesting monthly over one year, and $2,500 per meeting paid in cash and an additional bonus of $25,000 paid in common shares issued at the end of each year of service. Advisory agreement is open ended and can be terminated by consent of either party upon written notice.

On March 1, 2022, the Company agreed to issue to an advisor 150,000 common shares vesting monthly over one year, $2,500 per meeting paid in cash, and an additional bonus of $25,000 paid in common shares issued at the end of each year of service. Advisory agreement is open ended and can be terminated by consent of either party upon written notice.

On March 20, 2022, the Company agreed to issue to an advisor 150,000 common shares vesting monthly over one year, and $2,500 per meeting paid in cash and an additional bonus of $25,000 paid in common shares issued at the end of each year of service. Advisory agreement is open ended and can be terminated by consent of either party upon written notice.

On January 1, 2025, the Company agreed to issue to two advisors 1,000,000 common shares each, vesting and issued quarterly, beginning March 31, 2025, and $2,500 per meeting paid in cash and an additional bonus of $25,000 paid in common shares issued at the end of each year of service. Advisory agreements are open ended and can be terminated by consent of either party upon written notice.

On January 22, 2025, the Company agreed to issue a new advisor 1,000,000 common shares, vesting and issued quarterly, beginning April 21, 2025, and $2,500 per meeting paid in cash and an additional bonus of $25,000 paid in common shares issued at the end of each year of service. Advisory agreement is open ended and can be terminated by consent of either party upon written notice.

On October 10, 2025, the Company agreed to issue a new advisor 1,000,000 common shares, vesting and issued quarterly, beginning January 9, 2026, and $2,500 per meeting paid in cash and an additional bonus of $25,000 paid in common shares issued at the end of each year of service. Advisory agreement is open ended and can be terminated by consent of either party upon written notice.

Litigation

Effective October 29, 2025, Xeriant terminated its previously disclosed litigation proceedings with Auctus Fund, LLC, and entered into a Settlement Agreement with Auctus to restructure the Auctus Note and related obligations. A Summary of the Settlement Agreement is found in Subsequent Events with the full Settlement Agreement provided in Form 8-K filed with the SEC on November 12, 2025. Xeriant is currently working on securing funding to fulfill its obligations under the Settlement Agreement and has ongoing discussions with Auctus regarding extending the cash payments based on the Company's timelines in executing its business plan, particularly certification testing of NEXBOARD. The Company's ongoing lawsuit against XTI Aircraft Company has a connection to the Auctus matter in that the Company's obligations to Auctus were, according to Xeriant's complaint, to be assumed by XTI as provided in a Letter Agreement. Separately, Auctus Fund, LLC, sued XTI related to the Letter Agreement.

On December 6, 2023, the Company initiated legal proceedings against XTI Aircraft Company in the Federal District Court for the Southern District of New York (Case no. 1:23-cv-10656-JPO), along with other unnamed defendants, seeking to enforce the terms of the Letter Agreement, alleging fraudulent acts, deceptive maneuvers and intentional breaches, and seeking a range of remedies. These include the recovery of losses, expenses, attorneys' fees, punitive damages and a compensatory damage award exceeding $500 million. The legal action aims to address the alleged misconduct comprehensively and to protect the Company's interests in the face of XTI's actions. The foregoing description of the legal action does not purport to be complete and is subject in its entirety by the full text of the complaint, a copy of which was filed in an 8-K on December 12, 2023, Exhibit 99.1. On February 29, 2024, the Company filed a Second Amended Complaint alleging seven counts including intentional fraud, fraudulent concealment, breach of contract, unjust enrichment, unfair competition, quantum meruit, and misappropriation of confidential information. XTI filed a Motion to Dismiss on March 13, 2024, seeking to dismiss all the Company's claims except for breach of contract. The Company filed a Memorandum of Law in Opposition to XTI's Motion to Dismiss on April 10, 2024, and on January 14, 2025, the Court agreed with the Company's position that its claims were validly alleged and denied all of XTI's arguments in their entirety. On February 18, 2025, XTI filed its answer to the Company's Second Amended Complaint adding two counter claims, including breach of fiduciary duty and breach of contract. The Company responded on March 18, 2025, moving to dismiss both counterclaims and on April 1, 2025, XTI filed a Second Amended Answer and Counterclaims to the Second Amended Complaint. On April 28, 2025, the Company filed a Motion to Dismiss XTI's Second Amended Answer and Counterclaims. On May 12, 2025, XTI filed a Memorandum of Law in Opposition to Xeriant's Motion to Dismiss XTI's Second Amended Counterclaim. On May 20, 2025, Xeriant filed a Memorandum of Law in Support of its Motion to Dismiss XTI's Second Amended Answer with Counterclaims. On September 23, 2025, Xeriant's Motion to dismiss XTI's Second Amended Answer with Counterclaim was denied by the Court. The parties are presently involved in the discovery process. The foregoing descriptions of the legal actions do not purport to be complete and are subject in their entirety by the full text of the court filings.

On July 2, 2025, the Company was served with a complaint from Midland Compounding for breach of contract in the payment of an invoice in the amount of $57,600 related to a purchase order for consulting services related to improving the Company's intumescent fire-retardant layer for NEXBOARD. On August 20, 2025, the Company filed an Answer and Affirmative Defenses, essentially stating that Midland Compounding had not performed the services it was contracted to provide.

To the Company's knowledge, none of its directors, officers, five (5%) shareholders or affiliates are party to any legal proceedings that would have a material adverse effect on its business, financial condition, or operating results.

NOTE 10 – EQUITY

Common Stock

As of December 31, 2025, and June 30, 2025, the Company had 5,000,000,000 shares of common stock authorized with a par value of $0.00001. There were 862,763,035 and 695,746,625 shares issued and outstanding as of December 31, 2025, and June 30, 2025, respectively.

Series A Preferred Stock

There are 100,000,000 shares authorized as preferred stock, of which 3,500,000 are designated as Series A preferred stock having a par value of $0.00001 per share. The Series A preferred stock has the following rights:

- Voting: The preferred shares shall be entitled to 1,000 votes to every one share of common stock.
- Dividends: The Series A preferred stockholders are treated the same as the common stockholders except at the dividend on each share of Series A convertible preferred stock is equal to the amount of the dividend declared and paid on each share of common stock multiplied by the Conversion Rate.
- Conversion: Each share of Series A Preferred Stock is convertible, at the option of the holder thereof, at any time into shares of Common Stock on a 1:1,000 basis.
- The shares of Series A Preferred Stock are redeemable at the option of the Corporation upon not less than 30 days written notice to the holders. It is not mandatorily redeemable.

As of December 31, 2025, and June 30, 2025, the Company had 592,996 and 664,996 shares of Series A preferred stock issued and outstanding, respectively.

Series B Preferred Stock

On March 25, 2021, the Certificate of Designation for the Series B Preferred was recorded by the State of Nevada. There are 100,000,000 shares authorized as preferred stock, of which 1,000,000 are designated as Series B Preferred Stock having a par value of $0.00001 per share. The Series B preferred stock is not convertible, grants 5,000 votes and no liquidation preference.

Warrants

As of December 31, 2025, and June 30, 2025, the Company had 153,068,828 and 111,568,828 warrants outstanding. The warrants have a term of two to five years, and an exercise price range from $0.021 and $0.1187. The Company evaluated the warrants under ASC 815, *Derivatives and Hedging* ("ASC 815") and determined that they did not require liability classification. The warrants were recorded in additional paid-in capital under their aggregate relative fair values. As of December 31, 2025, the weighted average remaining useful life of the warrants was 1.76. The warrants are detailed as follows:

Number of Warrants	Number of Warrants	Weighted-Average Exercise Price	Weighted-Average Contractual Term (in years)	Aggregate Intrinsic Value
Outstanding at June 30, 2025	111,568,828	$ 0.11	3.79	$ -
Granted	41,500,000	$ 0.01	3.00	
Exercised	-			
Canceled	-			
Vested at December 31, 2025	153,068,828	$ 0.073	1.76	$ -
Exercisable at December 31, 2025	153,068,828	$ 0.073	1.76	$ -

NOTE 11 – INCOME TAXES

The Company did not provide any current or deferred US federal income tax provision or benefit for the periods ending December 31, 2025, and June 30, 2025, as they incurred tax losses during both periods.

When it is more likely than not that a tax asset cannot be realized through future income, the Company must record an allowance against any future potential future tax benefit. The Company has provided a full valuation allowance against the net deferred tax asset, consisting of net operating loss carry forwards, because management has determined that it is more likely than not that the Company will not earn income sufficient to realize the deferred tax assets during the carry forward periods.

The Company has not taken a tax position that, if challenged, would have a material effect on the condensed consolidated financial statements for the three and six months ended December 31, 2025 and 2024 as defined under ASC 740, "*Accounting for Income Taxes*."

The provision for income taxes differs from the amount computed by applying the statutory federal income tax rate to income before provision for income taxes.

The sources and tax effects of the differences for the periods presented are as follows:

	Three and Six Months Ended	
	December 31, 2025	December 31, 2024
U.S. statutory federal income tax rate	21%	21%
State income taxes, net of federal income tax	6%	6%
Change in valuation allowance	(26)%	(26)%
Effective income tax rate	0%	0%

A reconciliation of the income taxes computed at the statutory rate is as follows:

	Six Months Ended	
	December 31, 2025	December 31, 2024
Tax credit (expense) at statutory rate (26%)	$ (543,286)	$ 209,215
Increase (decrease) in valuation allowance	434,629	(209,215)
Income tax expense	$ (108,657)	$ —

	Three Months Ended	
	December 31, 2025	December 31, 2024
Tax credit (expense) at statutory rate (26%)	$ 79,638	$ 91,212
Increase (decrease) in valuation allowance	(79,638)	(91,212)
Income tax expense	$ —	$ —

At December 31, 2025, and June 30, 2025, the significant components of the deferred tax assets are summarized below:

	December 31, 2025	June 30, 2025
Net operating loss carry-forward	$ 7,075,102	$ 7,509,731
Valuation allowance	(7,075,102)	(7,509,731)
Net deferred tax asset (liability)	$ -	$ -

As of December 31, 2025, and June 30, 2025, the Company had a federal net operating loss carryforward of $26,288,470 and $28,338,606, respectively. The federal net operating loss carryforwards do not expire but may only be used against taxable income to 80%. No tax benefit has been reported in the condensed consolidated financial statements. The annual offset of this carryforward loss against any future taxable profits may be limited under the provisions of Internal Revenue Code Section 381 upon any future change(s) in control of the Company.

NOTE 12 – SUBSEQUENT EVENTS

Stock Issuances

On January 15, 2026, the Company issued 10,000,000 common shares that were converted from 10,000 Series A preferred shares.

On February 4, 2026, the Company issued 3,250,000 common shares for services.

On February 4, 2026, the Company issued 10,654,000 common shares that were converted from 10,654 Series A preferred shares.

Convertible Notes

On January 26, 2026, the Company issued convertible notes in the amount of $50,000. In connection with the convertible notes, the Company issued 5,000,000 warrants with an exercise price of $0.01 and a three-year term.

On February 11, 2026, the Company issued a convertible note in the amount of $50,000. In connection with the convertible note, the Company issued 5,000,000 warrants with an exercise price of $0.01 and a three-year term.

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Item 2. Management's Discussion and Analysis of Financial Condition and Results of Operations

The following discussion of our financial condition and results of operations should be read in conjunction with the audited and unaudited consolidated financial statements and the notes to those statements included elsewhere in this Report. This discussion contains forward-looking statements that involve risks and uncertainties. You should specifically consider the various risk factors identified in this Report that could cause actual results to differ materially from those anticipated in these forward-looking statements.

Forward-Looking Statements

This Quarterly Report on Form 10-Q contains forward-looking statements, including, without limitation, statements related to our plans, strategies, objectives, expectations, intentions and adequacy of resources. Investors are cautioned that such forward-looking statements involve risks and uncertainties including without limitation the following: (i) our plans, strategies, objectives, expectations and intentions are subject to change at any time at our discretion; (ii) our plans and results of operations will be affected by our ability to manage growth; and (iii) other risks and uncertainties indicated from time to time in our filings with the Securities and Exchange Commission.

In some cases, you can identify forward-looking statements by terminology such as "may," "will," "should," "could," "expects," "plans," "intends," "anticipates," "believes," "estimates," "predicts," "potential," or "continue" or the negative of such terms or other comparable terminology. Although we believe that the expectations reflected in the forward-looking statements are reasonable, we cannot guarantee future results, levels of activity, performance, or achievements. Moreover, neither we nor any other person assumes responsibility for the accuracy and completeness of such statements. Readers are cautioned not to place undue reliance on these forward-looking statements, which speak only as of the date hereof. We are under no duty to update any of the forward-looking statements after the date of this Report.

This section of the report should be read together with Footnotes of the Company's audited consolidated financials for the year ended June 30, 2025. The unaudited condensed consolidated statements of operations for the six months ended December 31, 2025 and 2024 are compared in the sections below.

Executive Summary

Xeriant is dedicated to the discovery, development and commercialization of transformative technologies, including advanced materials, which can be successfully integrated and deployed across multiple industrial sectors. The Company seeks to partner with and acquire strategic interests in visionary companies that accelerate this mission. Xeriant's advanced materials line is marketed under the DUREVER™ brand, and includes NEXBOARD™, an eco-friendly, patent-pending composite construction panel made from plastic and fiber waste, designed to replace products such as drywall, plywood, OSB, MDF, MgO board and other materials used in construction.

Joint Venture with XTI Aircraft

Effective May 31, 2021, Xeriant entered into a Joint Venture with XTI Aircraft Company ("XTI"), named Eco-Aero, LLC, with the purpose of completing the preliminary design review ("PDR") of XTI's eVTOL fixed wing aircraft. XTI and the Company each own 50 percent of the XTI JV, and it is managed by a management committee consisting of five members, three appointed by Xeriant and two by XTI. The Company invested approximately $5.5 million into the joint venture after borrowing the funds from Auctus Fund LLC ("Auctus") through a Senior Secured Promissory Note, through an introduction from Maxim Group, LLC, the Company's investment banker at the time. The borrowed funds from Auctus were intended to be a bridge loan that would be resolved through an IPO (Initial Public Offering) and uplist to Nasdaq in a merger with XTI, which did not occur because XTI refused to move forward with the merger. The PDR was completed during the first quarter of 2022 according to XTI, which was the purpose of the joint venture.

On May 17, 2022, Xeriant signed a Letter Agreement with XTI related to the introduction of XTI to Inpixon, a Nasdaq-listed company. Under this Letter Agreement, if there was a combination or other transaction between XTI and Inpixon, Xeriant would receive compensation of 6 percent of XTI fully diluted pre-merger shares, and XTI would assume the obligations of Xeriant's Senior Secured Note with Auctus Fund, LLC. On May 31, 2023, the joint venture was terminated according to an Acceleration Event, which was 24 months from the start of the joint venture. On June 5, 2023, after suspecting that the obligations under the Letter Agreement were possibly being evaded, the Company transmitted a formal demand letter to XTI requesting compliance with the provisions outlined in the Letter Agreement, and in accordance with section 8 of the JV Agreement with XTI. On July 25, 2023, Inpixon filed an 8-K, announcing their intention to merge with XTI having executed an Agreement of Plan and Merger with XTI. The filing also showed that XTI had engaged in a transaction with Inpixon on March 10, 2023, receiving $300,000 in funding, which was a compensation triggering event. Inpixon subsequently filed an S-4/A registration statement on October 6, 2023. On December 6, 2023, the Company initiated legal proceedings against XTI. See *Litigation* section below for a summary of the related legal proceedings.

Stock Sales

None.

Convertible Notes Issued

During the six months ended December 31, 2025, the Company received $415,000 from issuance of convertible debt. The convertible notes issued during the six months ended December 31, 2025, contain a provision that prevents the Company from prepaying any principal or interest on the notes.

Litigation

Effective October 29, 2025, Xeriant terminated its previously disclosed litigation proceedings with Auctus Fund, LLC and entered into a Settlement Agreement with Auctus to restructure the Auctus Note and related obligations. A summary of the terms of the Settlement Agreement is discussed on the Liquidity and Capital Resources section below. Xeriant is currently working on securing funding to fulfill its obligations under the Settlement Agreement and has ongoing discussions with Auctus regarding extending the cash payments based on the Company's timelines in executing its business plan, particularly certification testing of NEXBOARD. The Company's ongoing lawsuit against XTI Aircraft Company has a connection to the Auctus matter in that the Company's obligations to Auctus were, according to Xeriant's complaint, to be assumed by XTI as provided in a Letter Agreement. Separately, Auctus Fund, LLC sued XTI related to the Letter Agreement.

On December 6, 2023, the Company initiated legal proceedings against XTI Aircraft Company in the Federal District Court for the Southern District of New York (Case no. 1:23-cv-10656-JPO), along with other unnamed defendants, seeking to enforce the terms of the Letter Agreement, alleging fraudulent acts, deceptive maneuvers and intentional breaches, and seeking a range of remedies. These include the recovery of losses, expenses, attorneys' fees, punitive damages and a compensatory damage award exceeding $500 million. The legal action aims to address the alleged misconduct comprehensively and to protect the Company's interests in the face of XTI's actions. The foregoing description of the legal action does not purport to be complete and is subject in its entirety by the full text of the complaint, a copy of which was filed in an 8-K on December 12, 2023, Exhibit 99.1. On February 29, 2024, the Company filed a Second Amended Complaint alleging seven counts including intentional fraud, fraudulent concealment, breach of contract, unjust enrichment, unfair competition, quantum meruit, and misappropriation of confidential information. XTI filed a Motion to Dismiss on March 13, 2024, seeking to dismiss all the Company's claims except for breach of contract. The Company filed a Memorandum of Law in Opposition to XTI's Motion to Dismiss on April 10, 2024, and on January 14, 2025, the Court agreed with the Company's position that its claims were validly alleged and denied all of XTI's arguments in their entirety. On February 18, 2025, XTI filed its answer to the Company's Second Amended Complaint adding two counter claims, including breach of fiduciary duty and breach of contract. The Company responded on March 18, 2025, moving to dismiss both counterclaims and on April 1, 2025, XTI filed a Second Amended Answer and Counterclaims to the Second Amended Complaint. On April 28, 2025, the Company filed a Motion to Dismiss XTI's Second Amended Answer and Counterclaims. On May 12, 2025, XTI filed a Memorandum of Law in Opposition to Xeriant's Motion to Dismiss XTI's Second Amended Counterclaim. On May 20, 2025, Xeriant filed a Memorandum of Law in Support of its Motion to Dismiss XTI's Second Amended Answer with Counterclaims. On September 23, 2025, Xeriant's Motion to dismiss XTI's Second Amended Answer with Counterclaim was denied by the Court. The parties are presently involved in the discovery process. The foregoing descriptions of the legal actions do not purport to be complete and are subject in their entirety by the full text of the court filings.

On July 2, 2025, the Company was served with a complaint from Midland Compounding for breach of contract in the payment of an invoice in the amount of $57,600 related to a purchase order for consulting services related to improving the Company's intumescent fire-retardant layer for NEXBOARD. On August 20, 2025, the Company filed an Answer and Affirmative Defenses, essentially stating that Midland Compounding had not performed the services it was contracted to provide.

Except as set forth above, there is no pending litigation against the Company and to our knowledge no litigation is contemplated or threatened. To our knowledge, none of our directors, officers, 5% shareholders or affiliates are party to any legal proceedings that would have a material adverse effect on our business, financial condition, or operating results.

Six Months Ended December 31, 2025, Results of Operations Compared with Six Months Ended December 31, 2024

	For the three months ended		
	December 31, 2025	**December 31, 2024**	**$**
Operating expenses:			
Consulting and advisory fees	$ 105,950	$ 125,120	$ (19,170)
Related party consulting fees	163,000	251,000	(88,000)
General and administrative expenses	53,293	202,066	(148,773)
Professional fees	142,625	89,616	53,009
Research and development expense	70,269	26,576	43,693
Total operating expenses	535,137	694,378	(159,241)
Operating loss	(535,137)	(694,378)	159,241
Other expenses:			
Amortization of debt discount	(90,668)	(42,274)	(48,394)
Interest expense	(80,605)	(112,996)	32,391
Gain on extinguishment of debt	2,743,546	60,157	2,683,389
Total other (expense)	2,572,273	(95,113)	2,667,386
Net income (loss) before income tax expense	2,037,136	(789,491)	2,826,627
Income tax expense	(108,657)	-	(108,657)
Net income (loss)	$ 1,928,479	$ (789,491)	$ 2,717,970

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Consulting and advisory fees

Total consulting and advisory expenses were $105,950 and $125,120 for the six months ended December 31, 2025 and 2024, respectively, a decrease of $19,170. The decrease was primarily related to non-recurring consulting fees during the quarter ended December 31, 2024. Additionally, there was a small decrease in advisory board fees relating to timing of board member anniversary dates.

Related Party Consulting Fees

Total related party consulting fees were $163,000 and $251,000 for the six months ended December 31, 2025 and 2024, respectively, a decrease of $88,000. In addition to the consulting agreement amounts, the Company will pay additional consulting fees to related parties when the Company has increased available funds. In the prior period, the Company had increased funds to pay consulting fees.

General and administrative expenses

Total general and administrative expenses were $53,293 and $202,066 for the six months ended December 31, 2025 and 2024, respectively, a decrease of $148,773. The primary reasons for the decrease was (i) a decrease in rent expense of $38,066 due to the Company entering into a new agreement in February 2025 for substantially less rent, $10,352 less in corporate and listing expenses in the current period, and (iii) $51,418 less in advertising and marketing expenses in the current period.

Professional Fees

Total professional fees were $142,625 and $89,616 for the six months ended December 31, 2025 and 2024, respectively, an increase of $53,009. The primary reason for the increase was higher legal costs in the current period.

Research and Development Expenses

Total research and development expenses were $70,269 and $26,576 for the six months ended December 31, 2025, and 2024, respectively, an increase of $53,966. The primary reason for the increase was increased research and development expenses related to testing and initial product development schedule in the current period.

Other (Expenses)

Total other expenses consist of amortization of debt discount related to convertible notes, interest expense related to convertible notes and gain on extinguishment of debt. Total other income (expenses) was $2,572,273 for the six months ended December 31, 2025, compared to ($95,113) for the six months ended December 31, 2024, an increase of $2,667,386. The reason for the income in the current period was the Company recorded a gain on extinguishment of debt in the amount of $2,743,546 related to the settlement with Auctus.

Net income (loss)

Total net income was $1,928,479 for the six months ended December 31, 2025, compared to a net loss of ($789,491) for the six months ended December 31, 2024, an increase of $2,717,970. The reason for the net income in the current period was the Company recorded a gain on extinguishment of debt in the amount of $2,743,546 related to the settlement with Auctus.

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Three Months Ended December 31, 2025, Results of Operations Compared with Three Months Ended December 31, 2024

	For the three months ended December 31, 2025	For the three months ended December 31, 2024	$
Operating expenses:			
Consulting and advisory fees	$ 38,750	$ 36,137	$ 2,613
Related party consulting fees	89,000	128,000	(39,000)
General and administrative expenses	28,381	145,621	(117,240)
Professional fees	58,628	25,810	32,818
Research and development expense	16,303	15	16,288
Total operating expenses	231,062	335,583	(104,521)
Operating loss	(231,062)	(335,583)	104,521
Other expenses:			
Amortization of debt discount	(46,637)	(25,472)	(21,165)
Interest expense	(35,822)	(51,379)	15,557
Gain on extinguishment of debt	-	(4,835)	4,835
Total other (expense)	(82,459)	(81,686)	(773)
Net loss before income tax expense	(313,521)	(417,269)	103,748
Income tax expense	15,928	-	15,928
Net loss	$ (297,593)	$ (417,269)	$ 119,676

Consulting and advisory fees

Total consulting and advisory expenses were $38,750 and $36,137 for the three months ended December 31, 2025 and 2024, respectively, an increase of $2,613. The increase was insignificant.

Related Party Consulting Fees

Total related party consulting fees were $89,000 and $128,000 for the three months ended December 31, 2025 and 2024, respectively, a decrease of $39,000. In addition to the consulting agreement amounts, the Company will pay additional consulting fees to related parties when the Company has increased available funds. In the prior period, the Company had increased funds to pay consulting fees.

General and administrative expenses

Total general and administrative expenses were $28,381 and $145,621 for the three months ended December 31, 2025 and 2024, respectively, a decrease of $117,240. The primary reasons for the decrease was (i) a decrease in rent expense of $20,051 due to the Company entering into a new agreement in February 2025 for substantially less rent, $3,208 less in corporate and listing expenses in the current period, and (iii) $51,176 less in advertising and marketing expenses in the current period.

Professional Fees

Total professional fees were $58,628 and $25,810 for the three months ended December 31, 2025 and 2024, respectively, an increase of $32,818. The primary reason for the increase was higher legal costs in the current period.

Research and Development Expenses

Total research and development expenses were $16,303 and $15 for the three months ended December 31, 2025, and 2024, respectively, an increase of $16,288. The primary reason for the increase was increased research and development expenses related to testing and initial product development schedule in the current period.

Other (Expenses)

Total other expenses consist of amortization of debt discount related to convertible notes and interest expense related to convertible notes. Total other expenses was $82,459 for the three months ended December 31, 2025, compared to $81,686 for the three months ended December 31, 2024, an increase of $773, which is insignificant.

Net income (loss)

Total net loss was $297,593 for the three months ended December 31, 2025, compared to a net loss of $417,269 for the three months ended December 31, 2024, an decrease of $119,676. The primary reason for the decrease was a decrease in general and administrative expenses.

Liquidity and Capital Resources

The Company's consolidated financial statements are prepared using the generally accepted accounting principles applicable to a going concern, which contemplates the realization of assets and liquidation of liabilities in the normal course of business. On December 31, 2025, and June 30, 2025, the Company had $76,533 and $44,850 in cash, respectively, and $5,645,060 and $8,708,900 in negative working capital, respectively. For the six months ended December 31, 2025, the Company had a net income of $1,928,479 and for the six months ended December 31, 2024 the Company had a net loss of $789,491. For the three months ended December 31, 2025 and 2024, the Company had a net loss of $297,593 and $417,269, respectively. Continued losses may adversely affect the liquidity of the Company in the future. Therefore, the factors noted above raise substantial doubt about our ability to continue as a going concern. The recoverability of a major portion of the recorded asset amounts shown in the accompanying unaudited condensed consolidated balance sheets is dependent upon continued operations of the Company, which in turn is dependent upon the Company's ability to raise additional capital, obtain financing and to succeed in its future operations. The unaudited condensed consolidated financial statements do not include any adjustments relating to the recoverability and classification of recorded asset amounts or amounts and classification of liabilities that might be necessary should the Company be unable to continue as a going concern. To implement its business plan, the Company must raise sufficient funds in the form of equity, debt, or a combination thereof. Until the Company develops profitable operations, it is dependent upon management continually raising funds.

During the six months ended December 31, 2025, the Company's operating activities used $383,317 of net cash used compared to using $750,922 of net cash used in operating activities during the six months ended December 31, 2024. This difference primarily related to an increased change in accounts payable and accrued liabilities in the amount of $329,871 offset by a decreased change in stock issued for services in the amount of $189,506. During the six months ended December 31, 2025, the Company's financing activities provided cash of $415,000 compared to $352,000 in the prior period. The cash provided by financing activities in both periods was from proceeds from convertible notes payable.

Effective October 29, 2025, Xeriant entered into a Settlement Agreement with Auctus to restructure the Auctus Note and related Xeriant obligations. The Settlement Agreement provides that the Company pay Auctus $3,500,000 as follows: (A) $1,000,000 on or before 75 days from October 29, 2025; (B) $1,000,000 on or before 105 days from October 29, 2025;(C) $1,000,000 on or before 135 days from October 29, 2025; and (D) $500,000 on or before 165 days from October 29, 2025. In addition, within ten (10) business days of receipt by the Company of any money or any other consideration pertaining to the legal action brought by the Company against XTI Aircraft Company, the Company will transfer litigation proceeds to Auctus on a preferred basis and share on a percentage basis thereafter net of legal fees not to exceed $250,000. There is no assurance that the Company will raise the funds necessary to meet these obligations of the Settlement Agreement or that there will be proceeds from the litigation against XTI Aircraft. The foregoing terms from the Settlement Agreement relate to liquidity and are only a portion of those found in the Settlement Agreement. This paragraph is qualified in its entirety by the terms and conditions set forth in Form 8-K filed with the SEC on November 12, 2025.

Off Balance Sheet Items

We do not have any off-balance sheet arrangements, financings, or other relationships with unconsolidated entities or other persons, also known as "special purpose entities" (SPEs).

Critical Accounting Policies

Our discussion and analysis of our financial condition and results of operations are based upon our condensed consolidated financial statements, which have been prepared in accordance with accounting principles generally accepted in the United States of America. The preparation of these condensed consolidated financial statements requires us to make estimates and judgments which affect the reported amounts of assets, liabilities, revenues and expenses, and related disclosures of contingent assets and liabilities (see Note 2, Summary of Significant Accounting Policies, contained in the notes to the Company's unaudited condensed consolidated financial statements for the six months ended December 31, 2025 and 2024 contained in this filing). On an ongoing basis, we evaluate our estimates. The Company bases our estimates on historical experience and on various other assumptions which we believe to be reasonable under the circumstances, the results of which form the basis for making judgments about the carrying value of assets and liabilities which are not readily apparent from other sources. Actual results may differ from these estimates based upon different assumptions or conditions; however, we believe that our estimates are reasonable.

Management is aware that certain changes in accounting estimates employed in generating financial statements can have the effect of making the Company look more or less profitable than it actually is. Management does not believe that the Company has made any such changes in accounting estimates.

Item 3. Quantitative and Qualitative Disclosures About Market Risk

As a smaller reporting company, the Company has elected not to provide the disclosure required by this item.

Item 4. Controls and Procedures

Disclosure Controls and Procedures

Our management is responsible for maintaining disclosure controls and procedures that are designed to ensure that information required to be disclosed in the reports that the Registrant files or submits under the Exchange Act is recorded, processed, summarized and reported within the time periods specified in the SEC's rules and forms. In addition, the disclosure controls and procedures must ensure that such information is accumulated and communicated to the Registrant's management, including its Chief Executive Officer and Chief Financial Officer, as appropriate, to allow timely decisions regarding required financial and other required disclosures.

At December 31, 2025, an evaluation of the effectiveness of our disclosure controls and procedures (as defined in Rules 13(a)-15(e) and 15(d)-15(e) of the Exchange Act) was carried out under the supervision and with the participation of Keith Duffy, our Chief Executive Officer and Brian Carey, our Chief Financial Officer. Based on their evaluation of our disclosure controls and procedures, they concluded that at December 31, 2025, our disclosure controls and procedures are effective.

Changes in Internal Control Over Financial Reporting

There has been no change in the Company's internal control over financial reporting, as defined in Rules 13a-15(f) of the Exchange Act, during the Company's most recent fiscal quarter ended September 30, 2025, that has materially affected, or is reasonably likely to materially affect, the Company's internal control over financial reporting.

PART II – OTHER INFORMATION

Item 1. Legal Proceedings

Effective October 29, 2025, Xeriant terminated its previously disclosed litigation proceedings with Auctus Fund, LLC and entered into a Settlement Agreement with Auctus to restructure the Auctus Note and related obligations. A summary of the terms of the Settlement Agreement is discussed on the Liquidity and Capital Resources section below. Xeriant is currently working on securing funding to fulfill its obligations under the Settlement Agreement and has ongoing discussions with Auctus regarding extending the cash payments based on the Company's timelines in executing its business plan, particularly certification testing of NEXBOARD. The Company's ongoing lawsuit against XTI Aircraft Company has a connection to the Auctus matter in that the Company's obligations to Auctus were, according to Xeriant's complaint, to be assumed by XTI as provided in a Letter Agreement. Separately, Auctus Fund, LLC sued XTI related to the Letter Agreement.

On December 6, 2023, the Company initiated legal proceedings against XTI Aircraft Company in the Federal District Court for the Southern District of New York (Case no. 1:23-cv-10656-JPO), along with other unnamed defendants, seeking to enforce the terms of the Letter Agreement, alleging fraudulent acts, deceptive maneuvers and intentional breaches, and seeking a range of remedies. These include the recovery of losses, expenses, attorneys' fees, punitive damages and a compensatory damage award exceeding $500 million. The legal action aims to address the alleged misconduct comprehensively and to protect the Company's interests in the face of XTI's actions. The foregoing description of the legal action does not purport to be complete and is subject in its entirety by the full text of the complaint, a copy of which was filed in an 8-K on December 12, 2023, Exhibit 99.1. On February 29, 2024, the Company filed a Second Amended Complaint alleging seven counts including intentional fraud, fraudulent concealment, breach of contract, unjust enrichment, unfair competition, quantum meruit, and misappropriation of confidential information. XTI filed a Motion to Dismiss on March 13, 2024, seeking to dismiss all the Company's claims except for breach of contract. The Company filed a Memorandum of Law in Opposition to XTI's Motion to Dismiss on April 10, 2024, and on January 14, 2025, the Court agreed with the Company's position that its claims were validly alleged and denied all of XTI's arguments in their entirety. On February 18, 2025, XTI filed its answer to the Company's Second Amended Complaint adding two counter claims, including breach of fiduciary duty and breach of contract. The Company responded on March 18, 2025, moving to dismiss both counterclaims and on April 1, 2025, XTI filed a Second Amended Answer and Counterclaims to the Second Amended Complaint. On April 28, 2025, the Company filed a Motion to Dismiss XTI's Second Amended Answer and Counterclaims. On May 12, 2025, XTI filed a Memorandum of Law in Opposition to Xeriant's Motion to Dismiss XTI's Second Amended Counterclaim. On May 20, 2025, Xeriant filed a Memorandum of Law in Support of its Motion to Dismiss XTI's Second Amended Answer with Counterclaims. On September 23, 2025, Xeriant's Motion to dismiss XTI's Second Amended Answer with Counterclaim was denied by the Court. The parties are presently involved in the discovery process. The foregoing descriptions of the legal actions do not purport to be complete and are subject in their entirety by the full text of the court filings.

On July 2, 2025, the Company was served with a complaint from Midland Compounding for breach of contract in the payment of an invoice in the amount of $57,600 related to a purchase order for consulting services related to improving the Company's intumescent fire-retardant layer for NEXBOARD. On August 20, 2025, the Company filed an Answer and Affirmative Defenses, essentially stating that Midland Compounding had not performed the services it was contracted to provide.

Except as set forth above, there is no pending litigation against the Company and to our knowledge no litigation is contemplated or threatened. To our knowledge, none of our directors, officers, 5% shareholders or affiliates are party to any legal proceedings that would have a material adverse effect on our business, financial condition, or operating results

Item 1A. Risk Factors

Our business is subject to numerous risks and uncertainties including but not limited to those discussed in "Risk Factors" in our Annual Report on Form 10-K.

Item 2. Unregistered Sales of Equity Securities

During the six month period ended December 31, 2025, the Company issued 8,256,410 shares for various services, 72,000,000 shares from conversion of Series A Preferred stock, 56,760,000 shares for conversion of principal and accrued interest, and 30,000,000 shares issued in connection with the Auctus Settlement. The Company believes that the issuance of the securities was exempt from registration under the Securities Act of 1933, as amended, in reliance on Section 4(2) of the Securities Act as a transaction by an issuer not involving any public offering and based on the fact that such securities were issued for services to sophisticated or accredited investors and persons who are thoroughly familiar with the Company's proposed business by virtue of their affiliation with the Company.

Item 3. Defaults Upon Senior Securities

Refer to Note 6 relating to Auctus Senior Secured Promissory Note

Item 4. Mine Safety Disclosures

Not Applicable.

Item 5. Other Information

To the best of the Company's knowledge, during the fiscal quarter ended December 31, 2025, no director or officer (as defined in Rule 16a-1(f) of the Exchange Act) of the Company adopted or terminated any Rule 10b5-1 trading arrangements or non-Rule 10b5-1 trading arrangements.

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Item 6. Exhibits

The following exhibits are filed herewith

Exhibit Number	Document
10.1	Settlement Agreement (Incorporated by reference to Exhibit 10.1 to the Company's Form 8-K filed on November 12, 2025)
31.1	Certification of the principal executive officer pursuant to Rule 13a-14(a) or 15d-14(a) under the Securities Exchange Act of 1934, as amended, as adopted pursuant to Section 302 of the Sarbanes-Oxley Act of 2002.
31.2	Certification of the principal financial officer pursuant to Rule 13a-14(a) or 15d-14(a) under the Securities Exchange Act of 1934, as amended, as adopted pursuant to Section 302 of the Sarbanes-Oxley Act of 2002.
32.1	Certification of the principal executive officer pursuant to 18 U.S.C. Section 1350, as adopted pursuant to Section 906 of the Sarbanes-Oxley Act of 2002.
32.2	Certification of the principal financial officer pursuant to 18 U.S.C. Section 1350, as adopted pursuant to Section 906 of the Sarbanes-Oxley Act of 2002.
101.INS	Inline XBRL Instance Document (the instance document does not appear in the Interactive Data File because its XBRL tags are embedded within the Inline XBRL document).
101.SCH	Inline XBRL Taxonomy Extension Schema Document
101.CAL	Inline XBRL Taxonomy Extension Calculation Linkbase Document
101.DEF	Inline XBRL Taxonomy Extension Definition Document
101.LAB	Inline XBRL Taxonomy Extension Label Linkbase Document
101.PRE	Inline XBRL Taxonomy Extension Presentation Linkbase Document
104	Cover Page Interactive Data File (formatted as inline XBRL and contained in Exhibit 101)

SIGNATURES

In accordance with the requirements of the Exchange Act, the Company caused this report to be signed on its behalf by the undersigned, thereunto duly authorized.

XERIANT, INC.

Date: February 17, 2026	By: */s/ Keith Duffy* Keith Duffy Chief Executive Officer (Principal Executive)
Date: February 17, 2026	By: */s/ Brian Carey* Brian Carey Chief Financial Officer